

BRRD Capital Instrument Classification

Problem

A bank issues a new senior unsecured bond and clients request MREL/TLAC eligibility classification.

Regulatory Requirements

BRRD, regulatory capital requirements.

Options Considered

A: Classify as eligible. B: Classify as non-eligible. C: Review terms before classification.

Decision

Review terms before classification.

Reasoning

Eligibility depends on contractual and jurisdictional features.

Risks

Delayed data delivery, legal interpretation risk, client reliance risk.